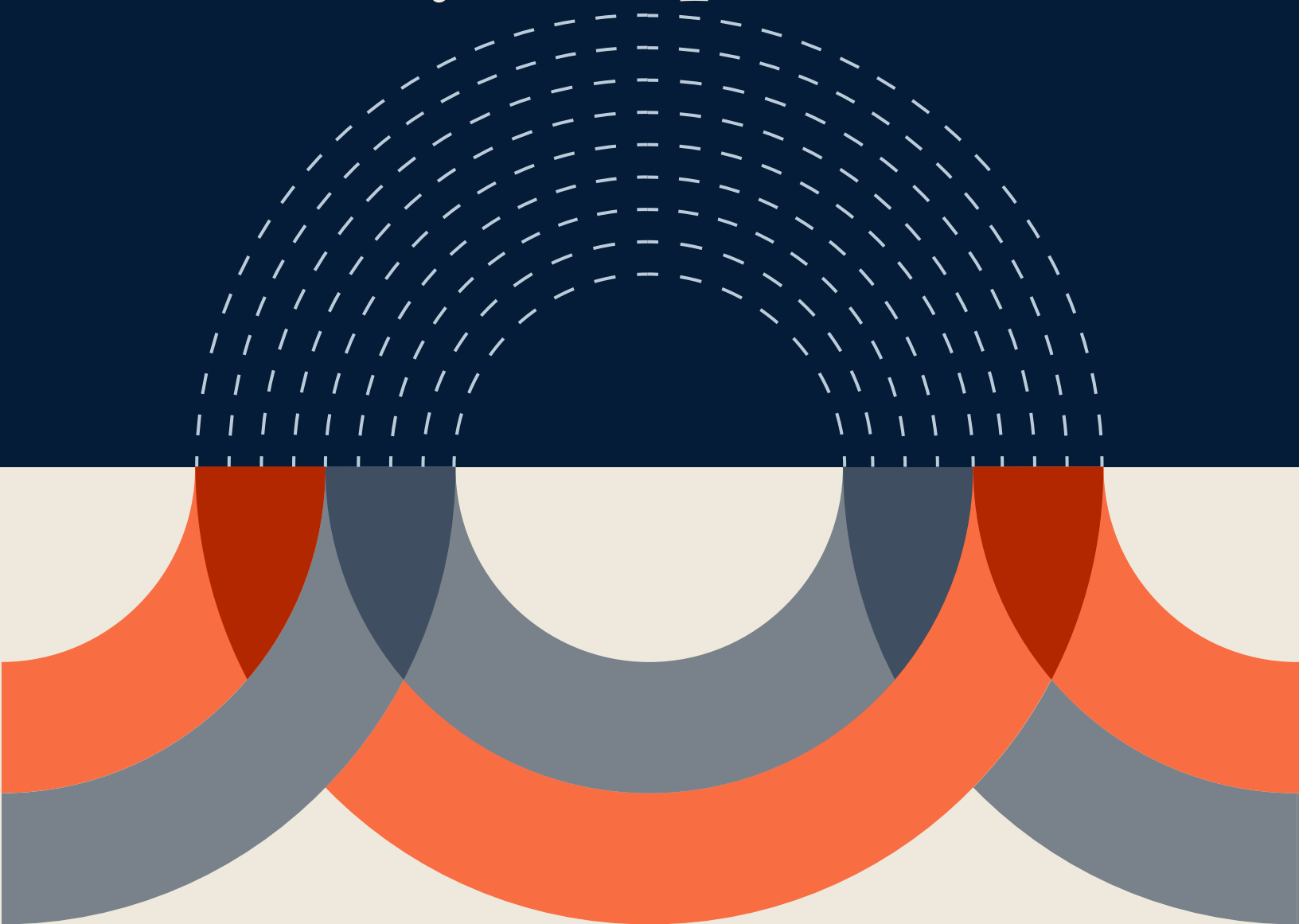




Private Credit & Middle Market Weekly Wrap



Playing both sides

With the focus on competition between the private credit and broadly syndicated markets, it's easy to forget there are regular opportunities for cooperation. In a recent example, insurance brokerage firm **Trucordia**, formerly PCF Insurance Services, which issued a \$1.94 billion, seven-year first-lien term loan this week through a JPMorgan-led arranger group, turned to private credit lenders for a second-lien loan.

— Commentary, page 3

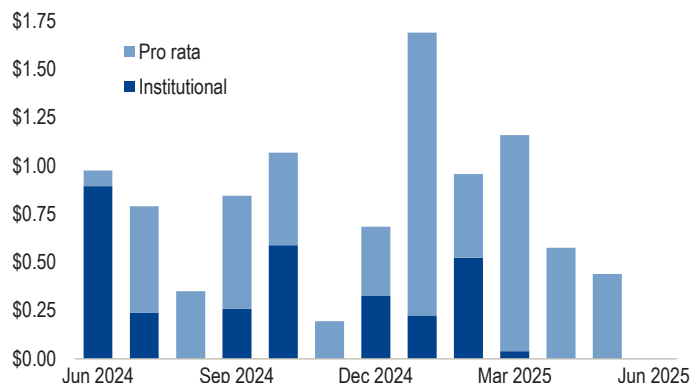
Private credit lenders are hoping for a return to the strategy's "golden era" after a disappointing 2024 — even as slow-moving capital and increased competition signal challenges ahead. Last year, the asset class raised \$233.3 billion, falling short of the highs reached in the pandemic era, and GPs closed only 188 funds—the lowest count since 2011.

— Market feature, page 6

A period of elevated defaults may add to evidence that larger borrowers are more resilient than those in the lower middle market, according to Brad Colman, global head of sponsor coverage for private credit strategies at Blackstone Credit and Insurance.

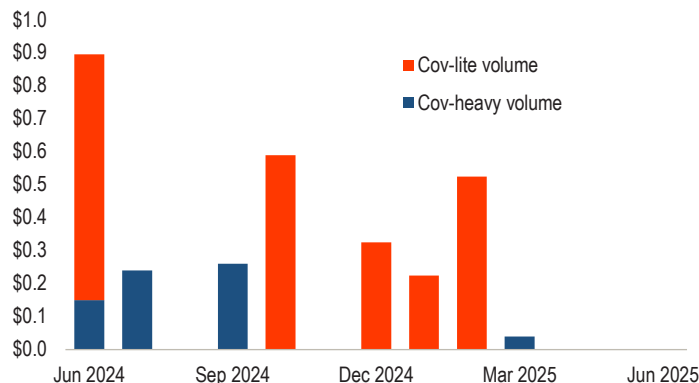
— Market feature, page 9

New-issue middle-market (loans of up to \$350M) loan volume (\$B)



Source: PitchBook | LCD

Middle-market (loans of up to \$350M) institutional volume (\$B)



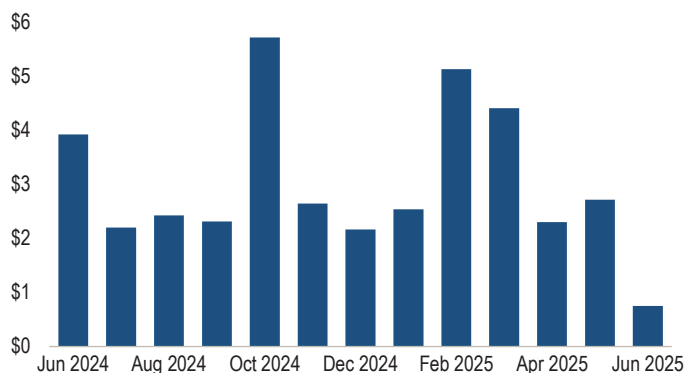
Source: PitchBook | LCD

First-lien flex activity

	June (down/up)	May (down/up)	April (down/up)	Mar (down/up)
\$201M - \$350M	0%/0%	0%/0%	0%/0%	0%/0%
\$351M - \$500M	33%/0%	100%/0%	0%/0%	0%/0%
All	25%/0%	100%/0%	0%/0%	0%/0%

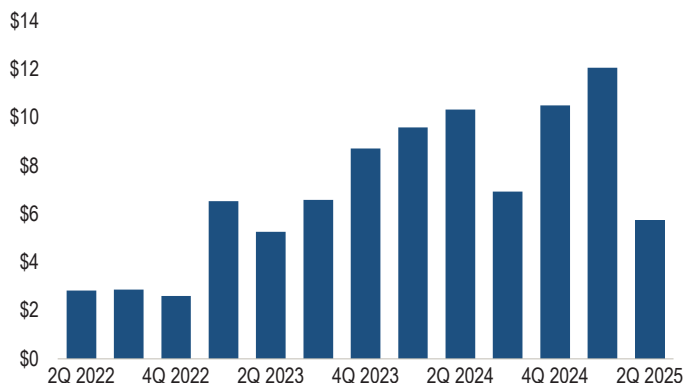
Source: PitchBook | LCD

Monthly middle market CLO issuance (\$B)



Source: PitchBook | LCD

Quarterly middle market CLO issuance (\$B)



Source: PitchBook | LCD

Playing both sides

With the focus on competition between the private credit and broadly syndicated markets, it's easy to forget there are regular opportunities for cooperation. In a recent example, insurance brokerage firm **Trucordia**, formerly PCF Insurance Services, which issued a \$1.94 billion, seven-year first-lien term loan this week through a JPMorgan-led arranger group, turned to private credit lenders for a second-lien loan. Proceeds of the first- and second-lien financing are earmarked to repay debt — much of which was provided by private lenders — as well as for general corporate purposes. Blue Owl Capital provided the \$548 million, eight-year second-lien term loan, according to market sources.

In 2024, Blue Owl led a \$400 million delayed-draw term loan to Trucordia to fund M&A. As of Dec. 31, other lenders to Trucordia included AB Private Credit, Bain Capital, BlackRock, Morgan Stanley Direct Lending, North Haven, Oak Hill, SLR, Stepstone and T. Rowe Price, BDC filings showed.

Earlier this month, Trucordia announced a \$1.3 billion strategic investment from Carlyle's Global Credit platform in a transaction valuing the firm at \$5.7 billion.

Following the equity recapitalization, Carlyle will have a roughly 49% ownership of Trucordia, and the balance will be held by the firm's partners, management and employees, according to S&P Global Ratings.

Geospatial location data company **Nearmap Ltd.**, a portfolio company of Thoma Bravo, received an incremental senior credit facility backing the company's acquisition of the data and technology company itel. Bain Capital's Private Credit Group was administrative agent, joint lead arranger and joint bookrunner on the financing. Morgan Stanley Private Credit, Jefferies Credit Partners, Carlyle Global Credit and Fidelity Direct Lending were joint lead arrangers and joint bookrunners on the transaction, market sources say. Antares Capital, Blue Owl Capital, HarbourVest Partners and New Mountain Capital also participated in the transaction. As of March 31, the existing loans due 2028 and 2029 were priced at S+500, BDC data showed.

Loan market, by the numbers

Large corporate (>\$50M of EBITDA)	90 day rolling average		
	6/18/2025	5/31/2025	4/30/2025
Spread (bps over base rate)	338	337	318
Floor (bps)	21.6	19.8	17.9
OID	99.27%	99.20%	99.44%
Yield	8.12%	8.12%	7.87%
Observations	120	93	143

Source: PitchBook | LCD

Note: Yield calculations are based on current base rate.

Private credit lenders have made clear that they are standing at the ready to build out AI infrastructure. It's not a moment too soon, either. **Crusoe** has secured a \$750 million credit facility that will support development of AI data centers and cloud platforms, market sources say. Brookfield Asset Management was the lender. "This new financing follows Crusoe's recent momentum, including its \$600 million Series D funding round in December 2024, a \$225 million credit facility from Upper90 announced in early 2025 to support the growth of its AI cloud infrastructure, and a \$15 billion joint-venture with Blue Owl and Primary Digital Interactive to fund a 1.2 gigawatt AI data center in Abilene, Texas," Crusoe said.

Elsewhere in the market, debt providers were preparing to bid adieu to private credit loans to **Beacon Mobility**. Lead arranger Barclays tightened pricing on an upsized \$730 million term loan B and \$100 million delayed-draw term loan for the high-needs transportation services company, according to sources. Proceeds from the financing will be used to repay existing debt in connection with an acquisition by a continuation vehicle in which Audax Private Equity funds will roll 100% of existing equity and management and prior acquisition owners will roll 75% of existing equity, alongside a new equity contribution of \$810 million.

The company previously financed in the private credit market with a first-lien term loan facility due December 2025 that, as of March 31, was priced at S+625, with a 1% floor, lender filings show.

Private credit lenders are looking for new places to deploy capital, and one area they have found is asset-backed finance. To that end, Carlyle Group and Citigroup have “formalized a framework” to co-invest in asset-backed financing for fintech specialty lenders. The partnership will draw on the network of Citi’s Spread Products Investment in Technologies team (SPRINT). The team makes venture equity investments in fintech specialty lenders. Among SPRINT’s active portfolio investments are companies like **Pylon** and **Lev**, according to PitchBook. Pylon describes itself as a mortgage-lending-as-a-service platform, while Lev is the developer of a commercial real estate financing platform.

This week, investment firm Värde Partners launched a fund finance platform in partnership with Canada Pension Plan Investment Board (CPP Investments.) The strategy is being launched with \$300 million of equity capital from CPP Investments, in addition to other Värde-dedicated capital. The platform, building on Värde’s broader asset-based finance strategy, aims to meet growing demand for subscription lines and other fund finance-related products. Värde’s platform has also already closed a forward flow agreement with a large global bank to support the bank’s subline origination capacity, the company said.

In a major liquidity milestone, Blue Owl Technology Finance Corp. launched on the NYSE on June 12 under the ticker “OTF,” becoming the largest publicly traded, technology-focused BDC by total assets, according to the company.

Average new-issue first-lien statistics (last 30 days)

Deal size	Spread (bps over base rate)	Floor (bps)	Offer price	YTM	Deal count
\$351M - \$500M	444	25	99.06%	9.34%	4
\$501M+	325	22	99.45%	7.93%	75

Source: PitchBook | LCD

The launch represents the largest BDC direct listing or IPO in history, a company spokesperson said. The BDC makes debt and equity investments in upper middle market US companies in the technology and software sectors.

The listing follows the merger of Blue Owl Technology Financing Corp. with Blue Owl Technology Finance Corp. II in March.

“Looking ahead, technology lending will remain the cornerstone of OTF’s portfolio, reflecting our conviction in the long-term growth and resilience of the asset class,” said OTF President Erik Bissonnette.

In people moves, Turning Rock Partners said Shahid Khoja will join the firm as head of credit. Previously, Khoja was head of credit at Z Capital Group. There, he led a 12-person investment team and managed credit strategy across funds, including opportunistic strategies and CLOs. He was also part of capital formation and investor engagement, and was on the firm’s credit investment committee.

Also, Clearlake Capital Group has hired Josh Lederman to join its capital markets team. Lederman joins as managing director. He will begin in the position in September. Lederman previously worked for KKR, where he served as managing director in the firm’s debt capital markets group.

Club Scene

Orthopedic device maker **Tyber Medical LLC** obtained senior financing in support of a buyout of the company by Montagu Private Equity. Oak Hill Advisors was administrative agent and lead left arranger on the financing. Oak Hill said it was “one of the largest holders across” the first-lien facility. BMO Capital Markets participated through a private credit joint venture with Oak Hill. The transaction combined Tyber Medical with two existing portfolio companies, Resolve Surgical Technologies and Intech.

Digital engineering company **Unosquare LLC** received debt to support a recapitalization of the company that was led by Ridgmont Equity Partners. Crescent Direct Lending, Barings and Reinsurance Group of America Inc., provided the financing. Unosquare’s founder and management team will remain significantly invested in the company alongside Ridgmont. Trivest Partners previously invested in the company in 2020.

Software company **PKWARE** obtained a unitranche facility to support the company’s refinancing. Audax Private Debt was the administrative agent and sole lead arranger on the facility. PKWARE is owned by Thompson Street Capital Partners, which acquired the company in 2020. Northstar Capital provided debt to support that transaction.

**The full 9-page report is
available through the
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